income, be this black or white, will protect it as far as possible, and also try and use it to generate more money. Thus, black money is rarely stashed as cash under a mattress. The holder will either try to launder it (convert it from black to white), or convert it into undeclared assets held domestically or abroad (black wealth), or reinvest it in the business which generated the income (black working capital). Of course, some people simply spend their black money on conspicuous consumption such as 'black' weddings!

Note that in all of these cases, the holder, launderer, or spender of the black money has to interact with the white economy at some stage or the other. The notion of a black economy as a parallel economy, which runs in perpetuity, parallel to and never intersecting with the formal white economy, is a completely erroneous one. The black and white economies are closely intertwined, and money changes colour all the time.

For example, if a salaried employee withdraws money from his bank account for expenses, this is white money. When he spends it at a grocery shop which does not issue him a bill, this becomes black money for the grocer. If the grocer then spends this money at a movie theatre, this becomes white money again in the hands of the theatre owner, and so on.

More importantly, money invariably leaves a trail, which, if diligently followed by tax authorities (or others!), can help trace the source of black income and holders of black wealth.

Neither black money nor anonymously held black wealth is restricted to India. Given the magnitude of tax avoidance and money laundering and the misuse of this money for international crime and terrorist financing, governments across the world are uniting to combat the menace of black money. The FATF (Financial Action Task Force) was created in 1989 by the G7 countries. Today, 36 countries, including India, are signatories. The US government has used this framework very effectively to trace, tax, penalize and recover money from American citizens holding black money abroad.